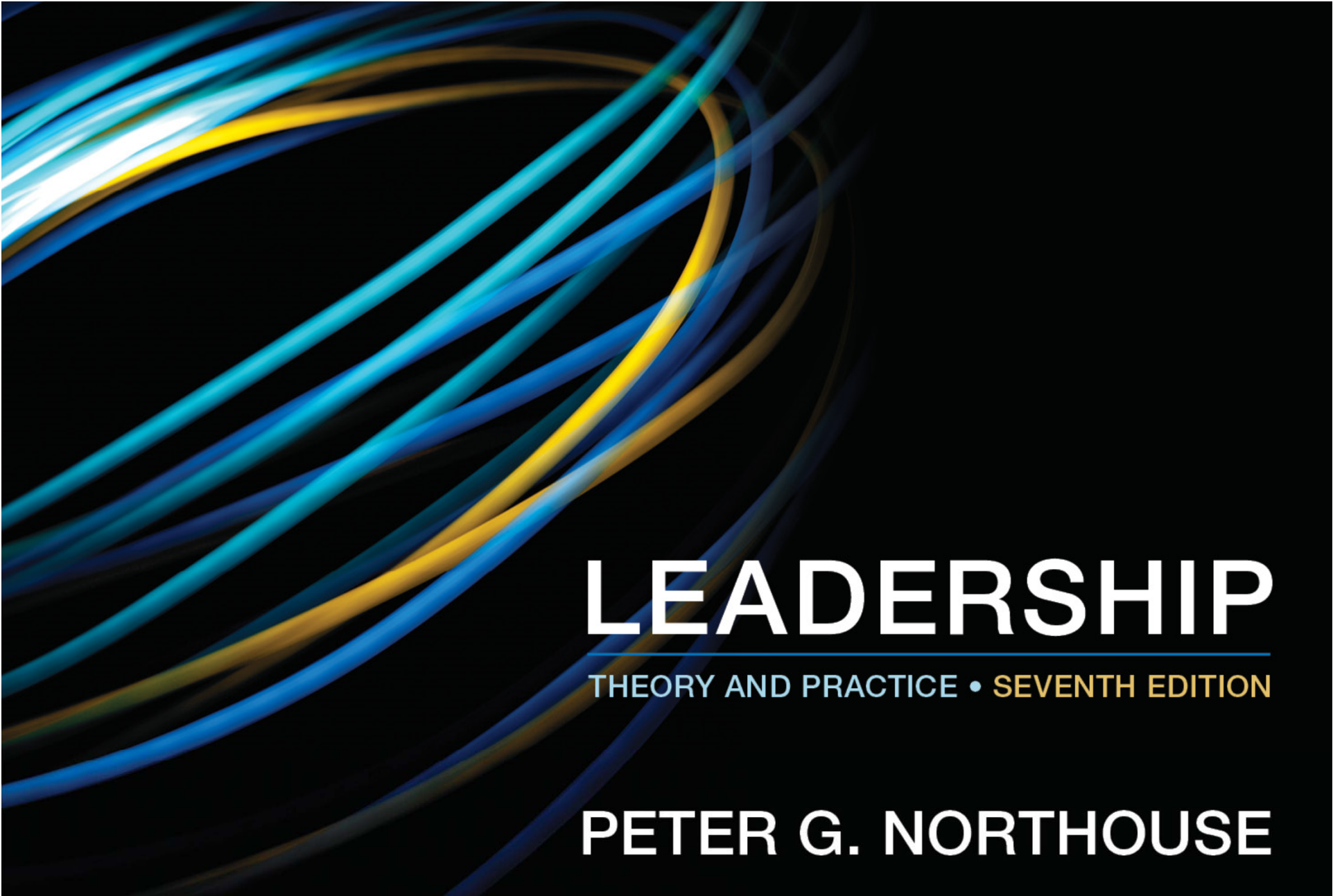




LEADERSHIP

THEORY AND PRACTICE • SEVENTH EDITION

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Chapter 8: Transformational Leadership

Overview

- ✦ **Transformational Leadership (TL) Perspective**
- ✦ **A Model of Transformational Leadership**
- ✦ **Transformational Leadership Factors**
- ✦ **Full Range of Leadership Model**
- ✦ **The Additive Effects of TL**
- ✦ **Other Transformational Leadership Perspectives**
- ✦ **How Does the Transformational Approach Work?**

Transformational Leadership

Description

- ✦ ***Process*** - *TL* is a process that changes and transforms individuals
- ✦ ***Influence*** - *TL* involves an exceptional form of influence that moves followers to accomplish more than what is usually expected
- ✦ ***Core elements*** - *TL* is concerned with emotions, values, ethics, standards, and long-term goals
- ✦ ***Encompassing approach*** – *TL* describes a wide range of leadership influence where followers and leaders are bound together in the transformation process

Types of Leadership Defined (Burns, 1978)

TRANSACTIONAL

Focuses on the
exchanges
that occur
between leaders
and their followers

TRANSFORMATIONAL

Process of
engaging with others
to create a connection that
increases
motivation and morality in
both the leader and the
follower

PSEUDO- TRANSFORMATIONAL

Focuses on the
leader's
own interests
rather than the
interests of his or
her followers

Types of Leadership Defined (Burns, 1978)

- No new taxes = votes.
- Turn in assignments = grade.
- Surpass goals = promotion.

The exchange dimension is so common that you can observe it at all walks of life.

Focuses on the exchanges that occur between leaders and their followers

TRANSACTIONAL

Types of Leadership Defined (Burns, 1978)

- ✦ Leaders who are
 - ◆ transforming but in a negative way
 - ◆ self-consumed, exploitive; power-oriented, with warped moral values

- ✦ includes leaders like
 - ◆ Adolph Hitler
 - ◆ Saddam Hussein

- ✦ Focuses on the leader's own interests rather than the interests of his or her followers

PSEUDOTRANSFORMATIONAL

Pseudotransformational (Christie, Barling, & Turner, 2011)

- ✦ Four experimental studies => model of pseudotransformational leadership
 - 1) Self-serving
 - 2) Unwilling to encourage independent thought in followers
 - 3) Exhibits little general caring for others
 - 4) Uses inspiration and appeal to manipulate followers for his or her own ends

Types of Leadership Defined Burns (1978)

❖ Leader is attentive to the needs and motives of followers and tries to help followers reach their fullest potential.

- **Mohandas Gandhi** raised the hopes and demands of millions of his people and in the process was changed himself
- **Ryan White** raised people's awareness about AIDS

Process of
engaging with others
to create a connection
that increases
motivation
and morality in both the
leader and the follower

TRANSFORMATIONAL

Transformational Leadership & Charisma

Definition

- ✦ ***Charisma*** - A special personality characteristic that gives a person superhuman or exceptional powers and is reserved for a few, is of divine origin, and results in the person being treated as a leader (Weber, 1947)
- ✦ ***Charismatic Leadership Theory (House, 1976)***
 - ◆ Charismatic leaders act in unique ways that have specific charismatic effects on their followers

Theory of Charismatic Leadership

Table 8.1 Personality Characteristics, Behaviors, and Effects on Followers of Charismatic Leadership

Personality Characteristics	Behaviors	Effects on Followers
Dominant	Sets strong role model	Trust in leader's ideology
Desire to influence	Shows competence	Belief similarity between leader and follower
Self-confident	Articulates goals	Unquestioning acceptance
Strong moral values	Communicates high expectations	Affection toward leader
	Expresses confidence	Obedience
	Arouses motives	Identification with leader
		Emotional involvement
		Heightened goals
		Increased confidence

(House, 1976)

Theory of Charismatic Leadership ***(Shamir, House, & Arthur, 1993)***

Later Studies

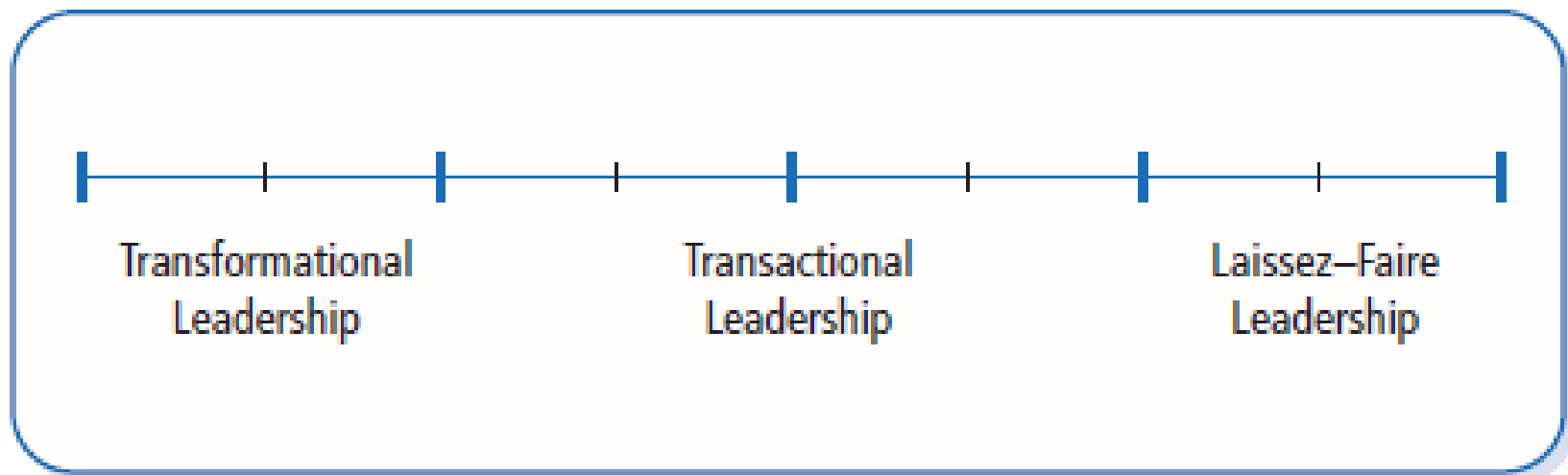
✦ Charismatic Leadership –

- ◆ Transforms follower's self-concepts; tries to link identity of followers to collective identity of the organization
 - Forge this link by emphasizing intrinsic rewards & de-emphasizing extrinsic rewards
 - Throughout process, leaders
 - Express high expectations for followers
 - help followers gain sense of self-confidence and self-efficacy

Model of Transformational Leadership (Bass, 1985)

- ◆ Expanded and refined version of work done by Burns and House. It included
 - More attention to followers' rather than leader's needs
 - Suggested TL could apply to outcomes that were not positive
 - Described transactional and transformational leadership as a continuum
- ◆ Extended House's work by
 - Giving more attention to emotional elements & origins of charisma
 - Suggested charisma is a necessary but not sufficient condition for TL

Figure 8.1 Leadership Continuum From Transformational to Laissez-Faire Leadership



TL motivates followers beyond the expected by

- raising consciousness about the value and importance of specific and idealized goals
- transcending self-interest for the good of the team or organization
- addressing higher-level needs

Transformational Leadership Factors

Table 8.2 Leadership Factors

Transformational Leadership	Transactional Leadership	Laissez-Faire Leadership
Factor 1 Idealized influence Charisma	Factor 5 Contingent reward Constructive transactions	Factor 7 Laissez-faire Nontransactional
Factor 2 Inspirational motivation	Factor 6 Management-by-exception	
Factor 3 Intellectual stimulation	Active and passive Corrective transactions	
Factor 4 Individualized consideration		

Full Range of Leadership Model

LEGEND

Nonleadership

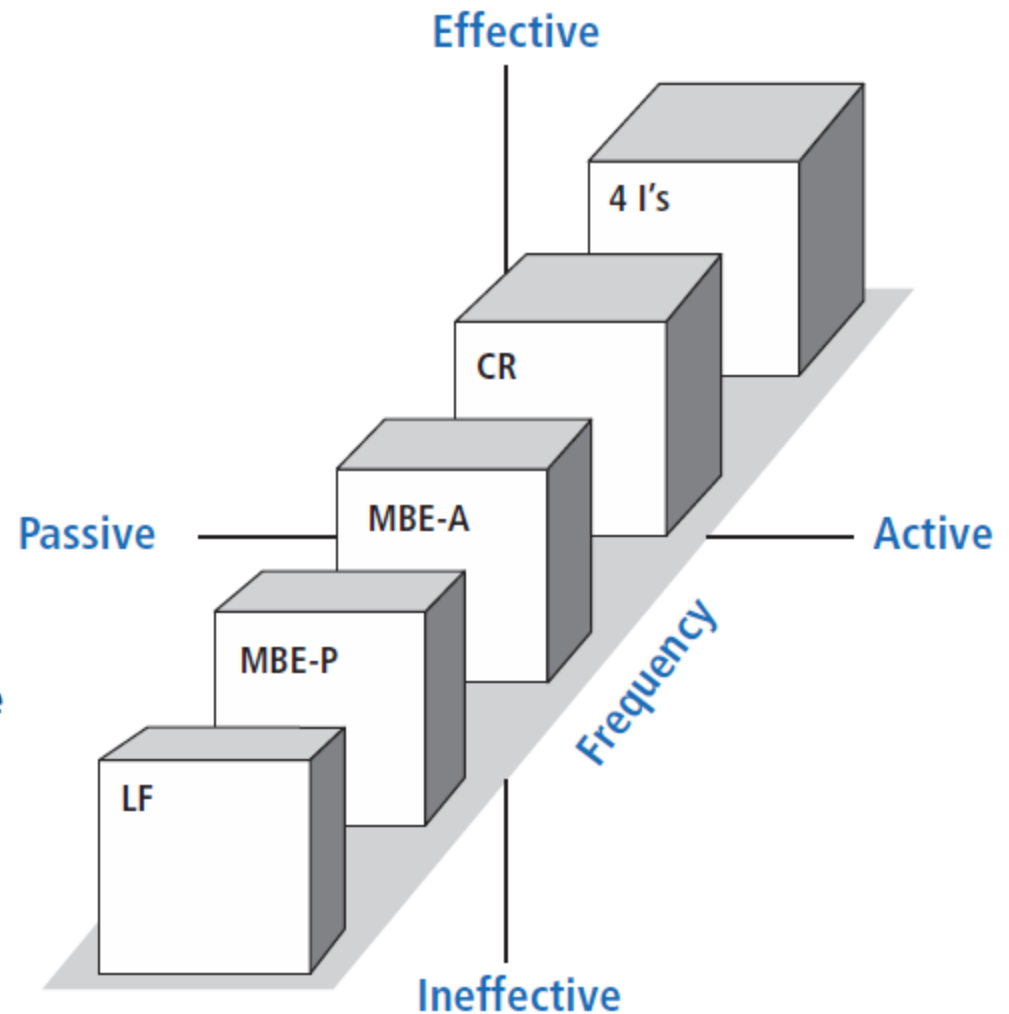
LF Laissez-Faire

Transactional

MBE-P Management-by-Exception, Passive
MBE-A Management-by-Exception, Active
CR Contingent Reward

Transformational 4 I's

Idealized Influence
Inspirational Motivation
Intellectual Stimulation
Individualized Consideration



SOURCE: From Bass, B. M., & Avolio, B. J., *Improving Organizational Effectiveness Through Transformational Leadership*, © 1994, SAGE Publications, Inc. Reprinted with permission.

Transformational Leadership Factors: The 4 Is

✦ Idealized Influence

- ◆ Acting as strong role models
- ◆ High standards of moral and ethical conduct
- ◆ Making others want to follow the leader's vision

✦ Inspirational Motivation

- ◆ Communicating high expectations
- ◆ Inspiring followers to commitment and engagement in shared vision
- ◆ Using symbols & emotional appeals to focus group members to achieve more than self-interest

Transformational Leadership Factors: The 4 Is

✧ Intellectual Stimulation

- ◆ Stimulating followers to be creative and innovative
- ◆ Challenging their own beliefs and valuing those of leader and organization
- ◆ Supporting followers to
- ◆ Try new approaches
- ◆ Develop innovative ways of dealing with organization issues

✧ Individualized Consideration

- ◆ Listening carefully to the needs of followers
- ◆ Acting as coaches to assist followers in becoming fully actualized
- ◆ Helping followers grow through personal challenges
- ◆ Ex. Showing optimism helps employees become more engaged in their work (Tims et al., 2011)

Transactional Leadership Factors

Contingent Reward

The exchange process between leaders and followers in which effort by followers is exchanged for specified rewards

Management-by-Exception

Leadership that involves corrective criticism, negative feedback, and negative reinforcement

- ◆ Two forms
 - *Active* - Watches follower closely to identify mistakes/rule violations
 - *Passive* - Intervenes only after standards have not been met or problems have arisen

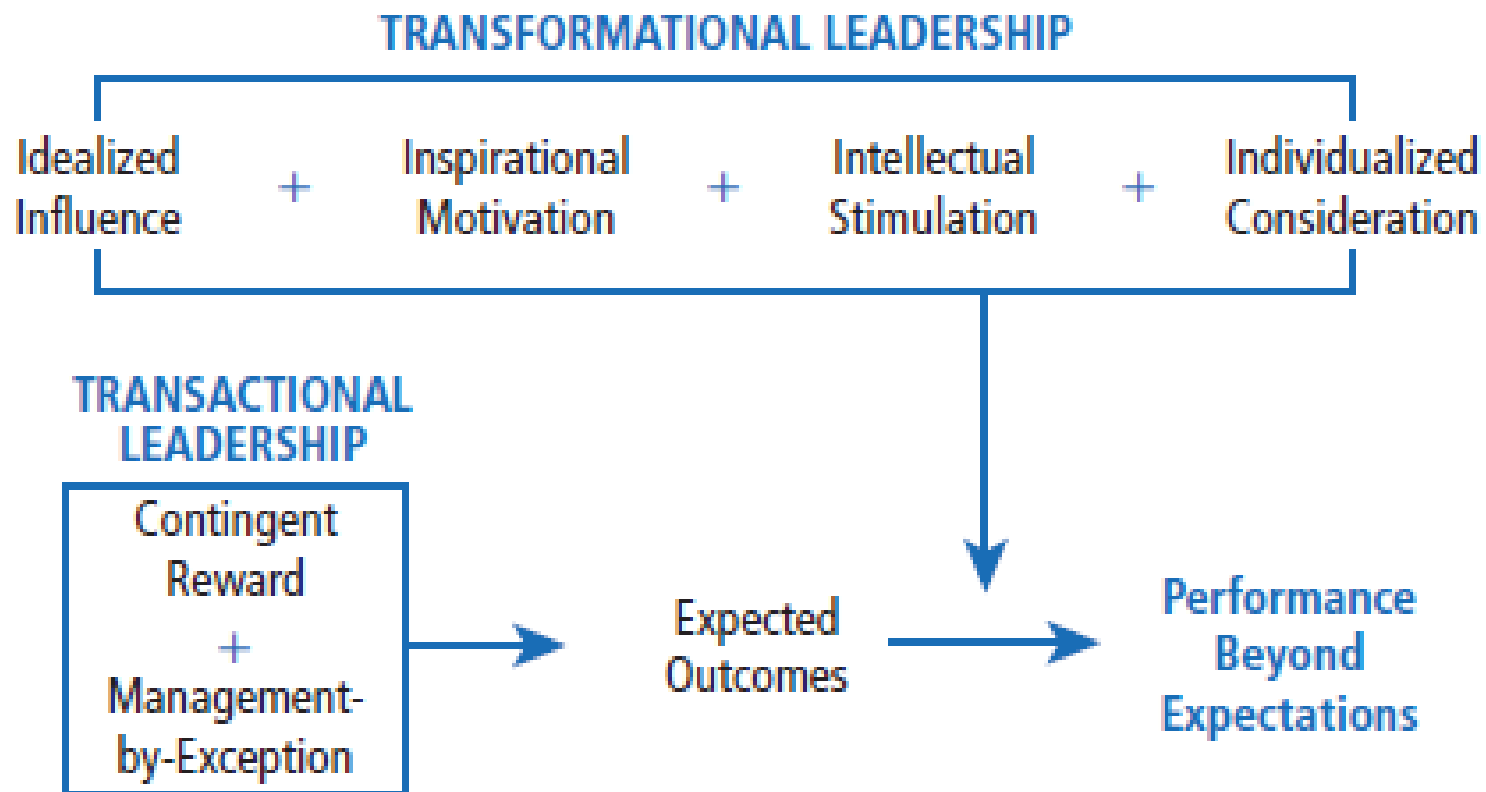
Nonleadership Factor

Laissez-Faire

The Absence of Leadership

- ✦ A hands-off, let-things-ride approach
- ✦ Refers to a leader who
 - ◆ abdicates responsibility
 - ◆ delays decisions
 - ◆ gives no feedback, and
 - ◆ makes little effort to help followers satisfy their needs

Figure 8.3 The Additive Effect of Transformational Leadership



SOURCE: Adapted from "The Implications of Transactional and Transformational Leadership for Individual, Team, and Organizational Development," by B. M. Bass and B. J. Avolio, 1990a, *Research in Organizational Change and Development*, 4, 231–272.

Bennis & Nanus (1985)

Four Leader Strategies in Transforming Organizations

- ✦ Clear vision of organization's future state
- ✦ TL's social architect of organization
- ✦ Create trust by making their position known and standing by it
- ✦ Creatively deploy themselves through positive self-regard

Kouzes & Pozner (1987, 2002)

Model consists of five fundamental practices

- ✦ Model the Way
- ✦ Inspire a Shared Vision
- ✦ Challenge the Process
- ✦ Enable Others to Act
- ✦ Encourage the Heart

How Does the Transformational Leadership Approach Work?

- ✦ Focus of Transformational Leadership
- ✦ Strengths
- ✦ Criticisms
- ✦ Application

Transformational Leadership

Overall Scope

- ✦ Describes how leaders can initiate, develop, and carry out significant changes in organizations

Focus of Transformational Leaders

- ✦ TLs empower and nurture followers
- ✦ TLs stimulate change by becoming strong role models for followers
- ✦ TLs commonly create a vision
- ✦ TLs require leaders to become social architects
- ✦ TLs build trust & foster collaboration

Strengths

- ✦ ***Broadly researched.*** TL has been widely researched, including a large body of qualitative research centering on prominent leaders and CEOs in major firms.
- ✦ ***Intuitive appeal.*** People are attracted to TL because it makes sense to them.
- ✦ ***Process focused.*** TL treats leadership as a process occurring between followers and leaders.
- ✦ ***Expansive leadership view.*** TL provides a broader view of leadership that augments other leadership models.
- ✦ ***Emphasizes followers.*** TL emphasizes followers' needs, values, and morals.
- ✦ ***Effectiveness.*** Evidence supports that TL is an effective form of leadership.

Criticisms

- ✦ Lacks ***conceptual*** clarity
 - ◆ Dimensions are not clearly delimited
 - ◆ Parameters of TL overlap with similar conceptualizations of leadership
- ✦ ***Measurement*** questioned
 - ◆ Validity of MLQ not fully established
 - ◆ Some transformational factors are not unique solely to the transformational model
- ✦ TL treats leadership more as a personality trait or predisposition than a ***behavior*** that can be taught
- ✦ ***No causal link*** shown between transformational leaders and changes in followers or organizations
- ✦ TL is ***elitist*** and ***antidemocratic***
- ✦ Suffers from ***heroic leadership*** bias
- ✦ Has the potential to be ***abused***

Application

- ✦ Provides a general way of thinking about leadership that stresses ideals, inspiration, innovations, and individual concerns
- ✦ Can be taught to individuals at all levels of the organization
- ✦ Able to positively impact a firm's performance
- ✦ May be used as a tool in recruitment, selection, promotion, and training development
- ✦ Can be used to improve team development, decision-making groups, quality initiatives, and reorganizations
- ✦ The MLQ and Sosik and Jung (2010) guide help leaders to target areas of leadership improvement